ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 02 - MARKET MAKER TRAP FALSE BREAKOUTS

Welcome to the eighth and final teaching for the second month of the ICT Mentorship, October. This session deals specifically with Market Maker Traps, focusing on false breakouts. For the sake of saving time, only one side of the marketplace will be discussed, with the understanding that the reverse applies to the opposite condition.

FALSE BREAKOUT ABOVE CONSOLIDATION IN BEARISH MARKETS

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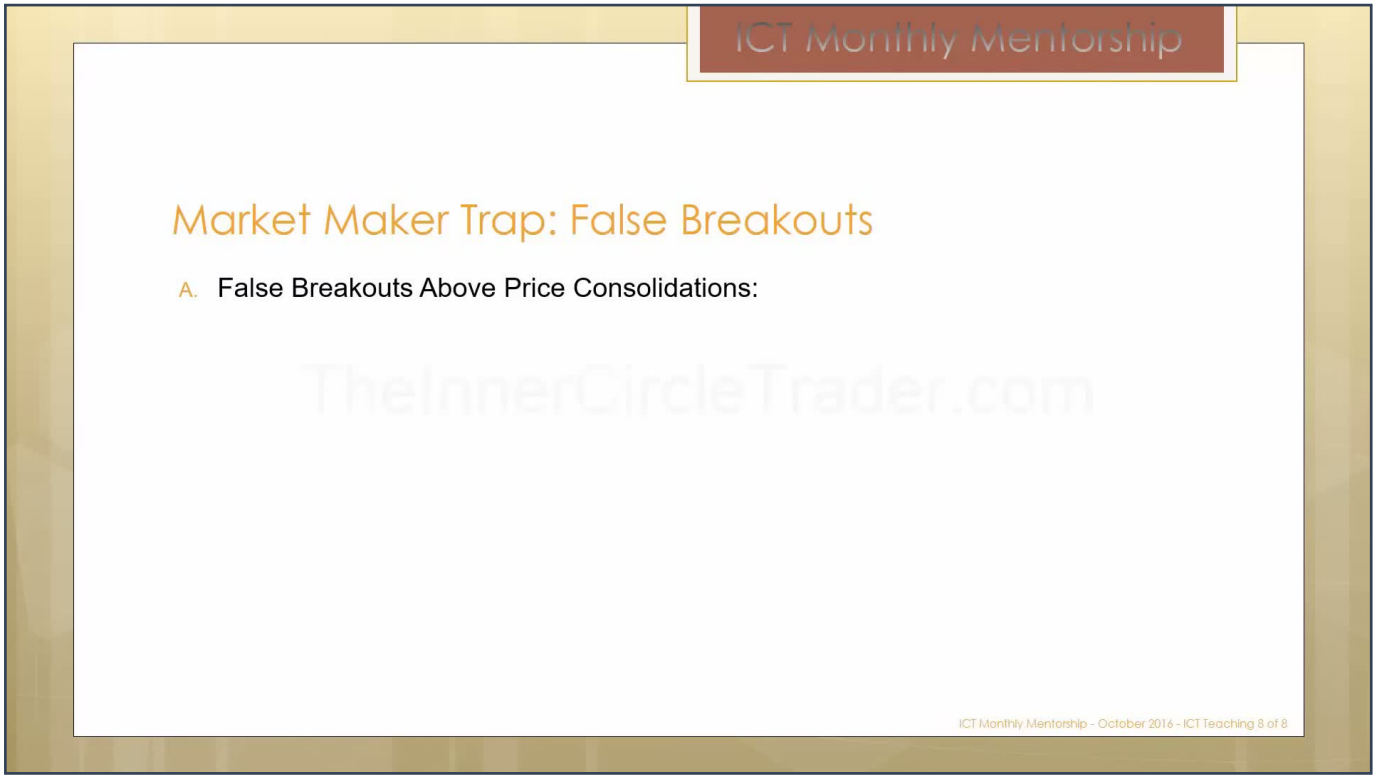
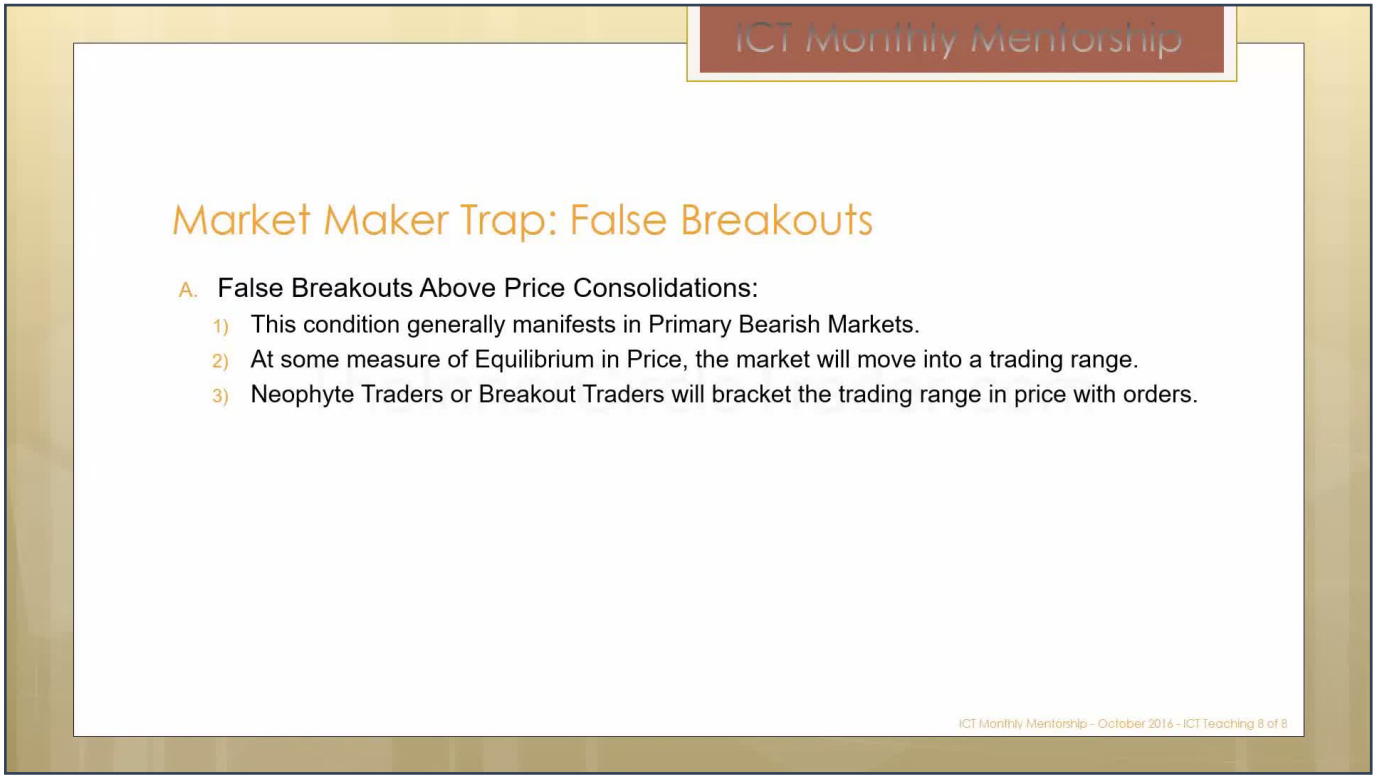


A false breakout above price consolidation generally manifests in primary bearish markets. If the market is in a downtrend, trading lower, or expected to trade lower, a false breakout above consolidations is reasonably expected. This typically occurs at some measure of equilibrium in price, where the market moves into a trading range.

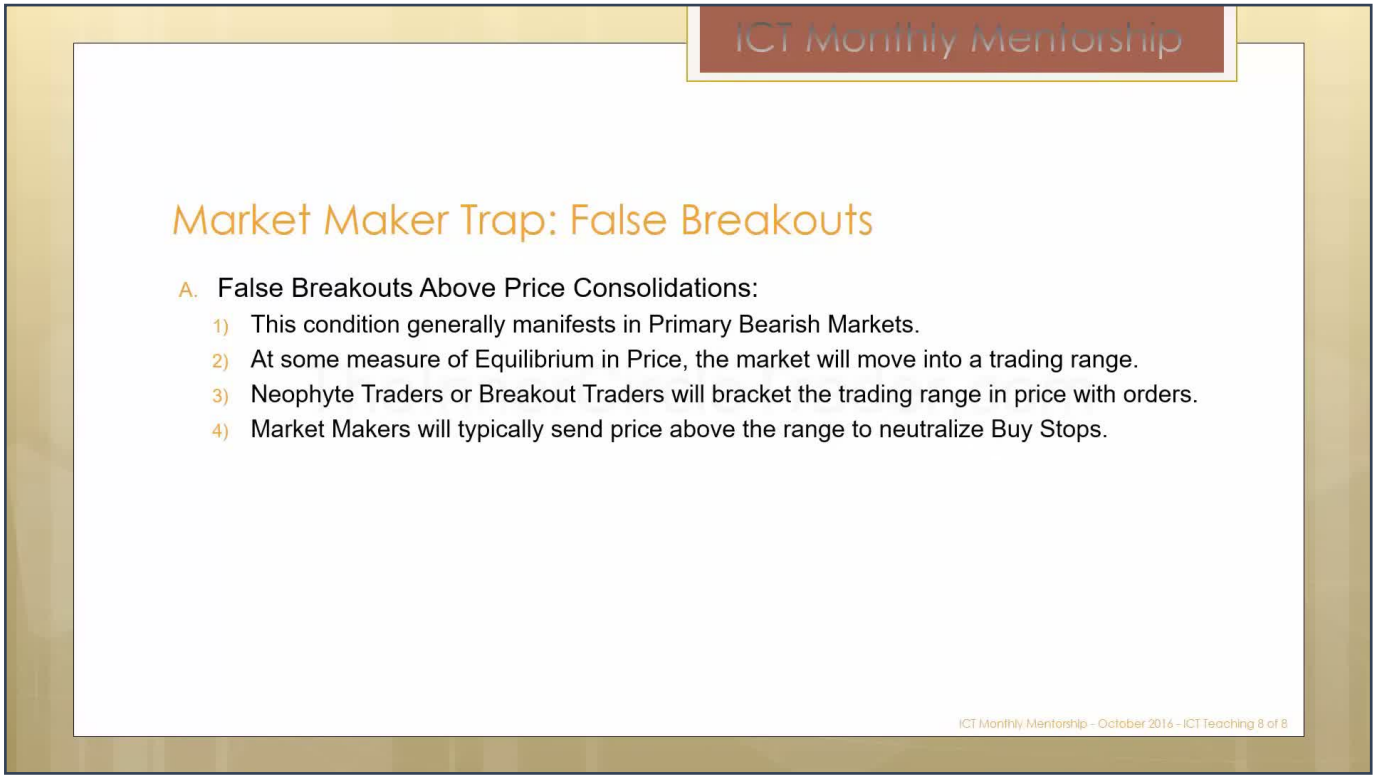


Neophyte traders, or breakout traders, will bracket the trading range with orders. This means they place:

- Buy stops to initiate a long position above old highs.

- Sell stops to initiate a short position below old lows.

They aim to capture a trend, placing orders on both sides because they lack a clear directional idea or are long-term trend followers willing to take many small losses for a large trade.



In a primarily bearish market, market makers will typically send price above the range to neutralize buy stops. Their playbook is to run the buy stops above the marketplace, assuming a bearish underlying condition.

FALSE BREAKOUT BELOW CONSOLIDATION IN BULLISH MARKETS

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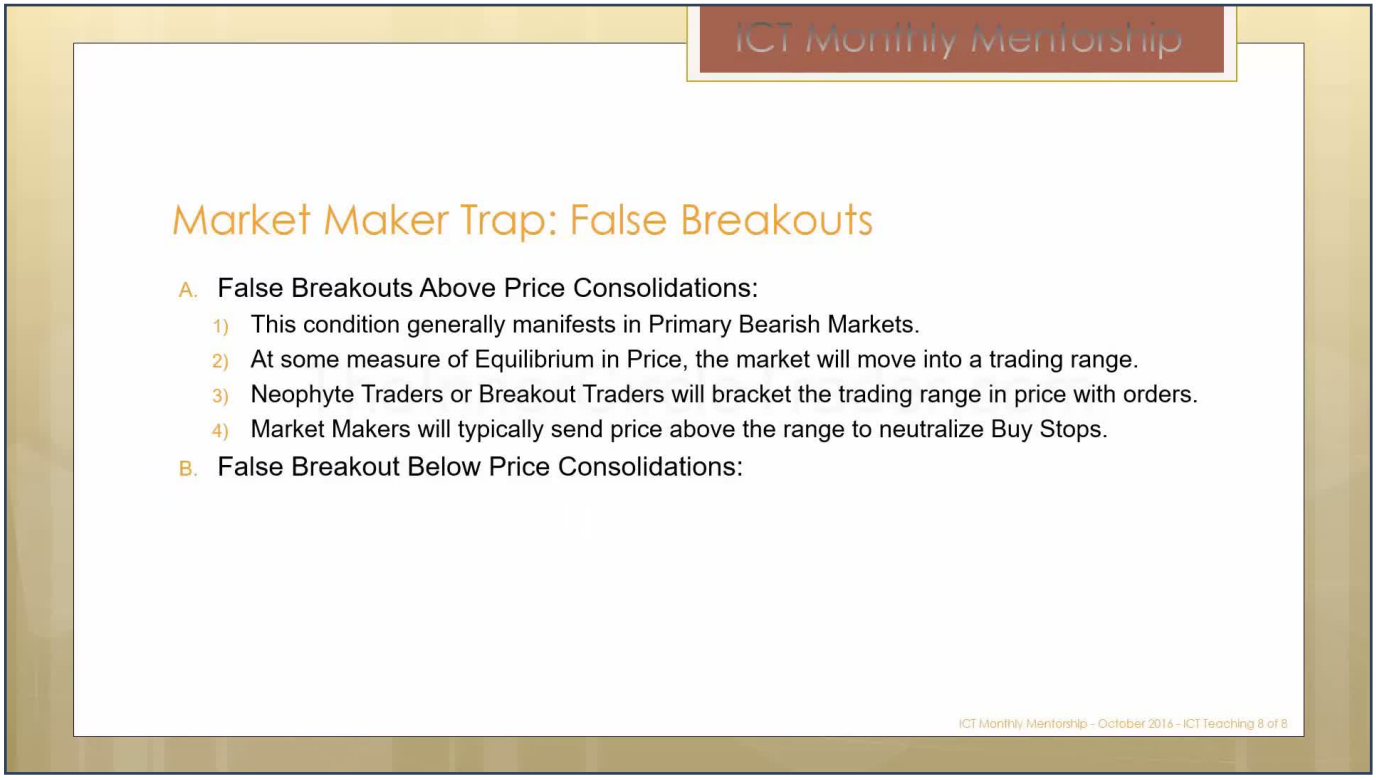
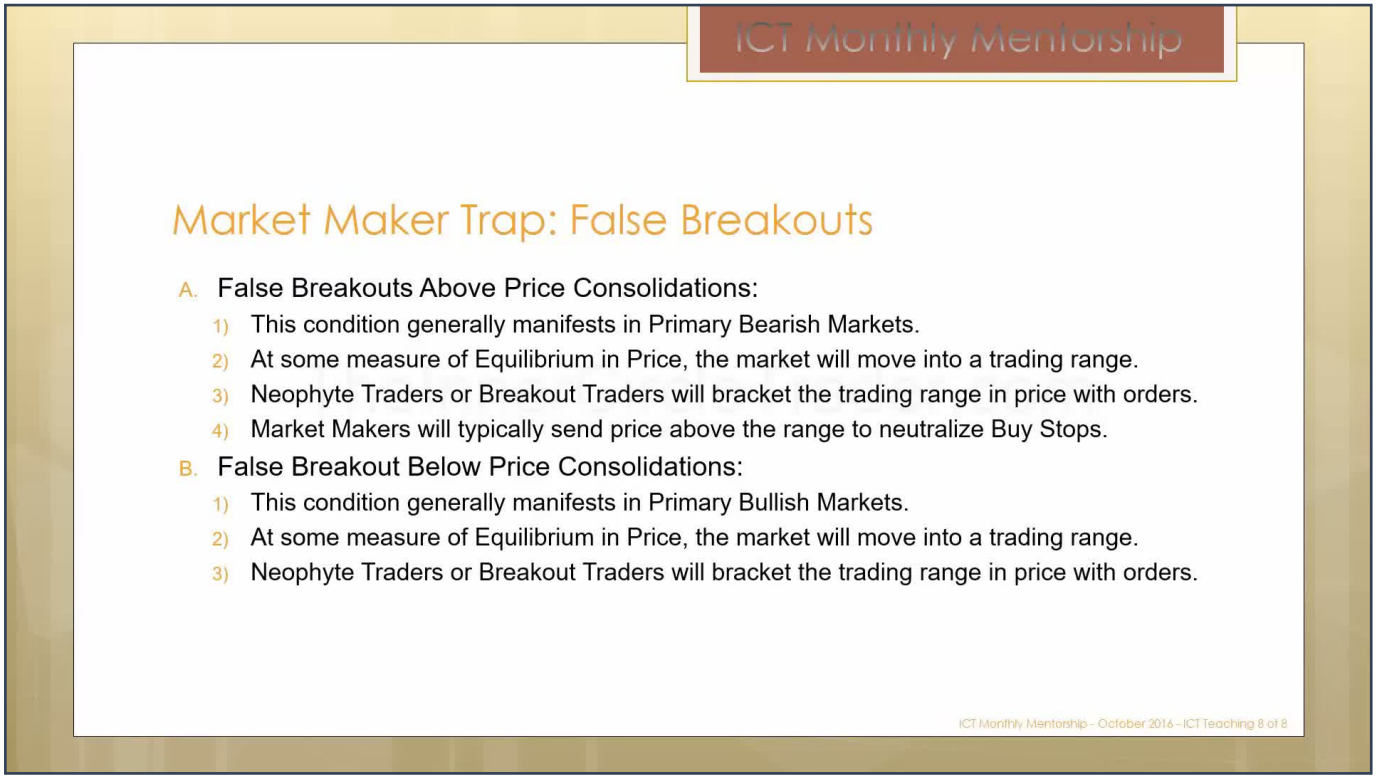
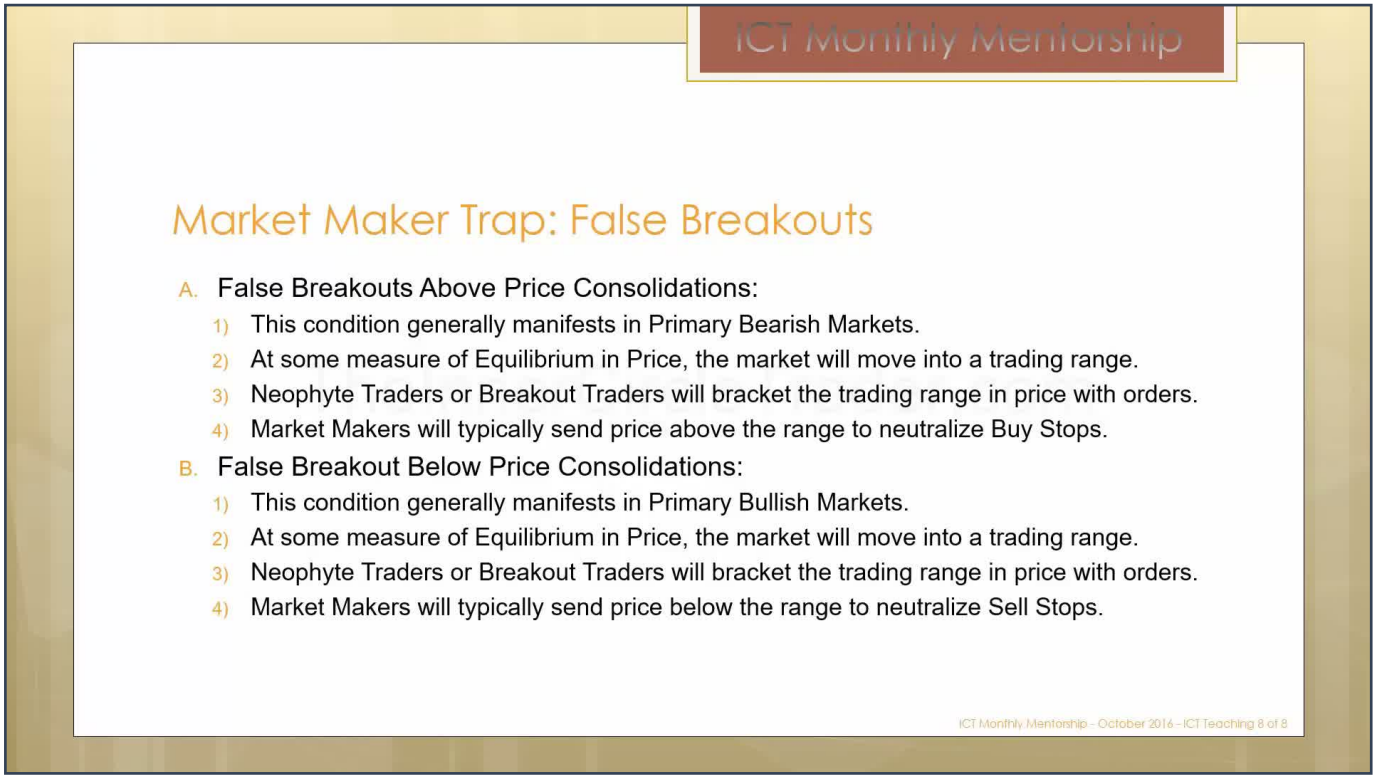


Conversely, a false breakout below price consolidations generally manifests in primary bullish markets. Similar to bearish conditions, this occurs at some measure of equilibrium in price, where the market moves into a trading range.



Again, neophyte traders or breakout traders will bracket the trading range with orders, looking to focus on buying on a breakout or selling short on a breakout. They simply want to react to whatever the market gives them in terms of breaking out above or below.



In this bullish scenario, market makers will typically send price below the range to neutralize the sell stops.

BREAKOUT TRADER'S GRAPHICAL PERSPECTIVE

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Graphically, a breakout trader or neophyte trader's perspective on a market entering a trading range involves:

- Buy stops above the old high or recent high for long breakout traders, and for anyone that would be short.

- Sell stops below the lows for long traders and for short breakout traders.

They aim to capture a move that would hopefully continue for a long period, getting short on weakness or buying on strength when breaking above an old high, hoping to capture a long-term trend up.

MARKET MAKER'S PERSPECTIVE: BULLISH ENVIRONMENT FOCUS

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From a market maker's perspective, in a predominantly bullish environment, we look below the marketplace where lows exist in the form of sell stops. Everything shown here will be for a buying environment; the reverse applies when the market is bearish to save time.

SELL STOP ABSORPTION FOR LONG ORDERS

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When the market breaks below consolidation, those sell stops are used to pair long orders. It is smart money that is buying those sell stops. Simultaneously, buy stops are resting above the highs.

As the market moves away from those sell stops being run out below the consolidation, they are going to expand price (think IPDA) up to the liquidity above the old high. Those buy stops are then used to pair long selling, allowing smart money to scale out of long positions or take some profits.

SUBSEQUENT CONSOLIDATION AND SELL STOP HUNT

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Eventually, the market will go into another area of consolidation or another trading range. The market drops below that trading range to take out the sell stops below consolidation.

As soon as this happens, the internal thought process should be: 'Okay, they've already shown a willingness to take the sell stops below (e.g., 108.55). Now they've rallied price above (e.g., 109 big figure), we've retraced a little bit. If they are taking the market below this short-term consolidation, they're probably going to run the price higher.' The objectives would be where buy stops are resting above that old high.

PURPOSE OF RUNNING SELL STOPS

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After taking the market below a consolidation, and with our understanding and expectation that the market is bullish, they are taking the market below the consolidations to run sell stops out. The only reason they want to do that is to absorb those sell stops to be counterparties for their longs.

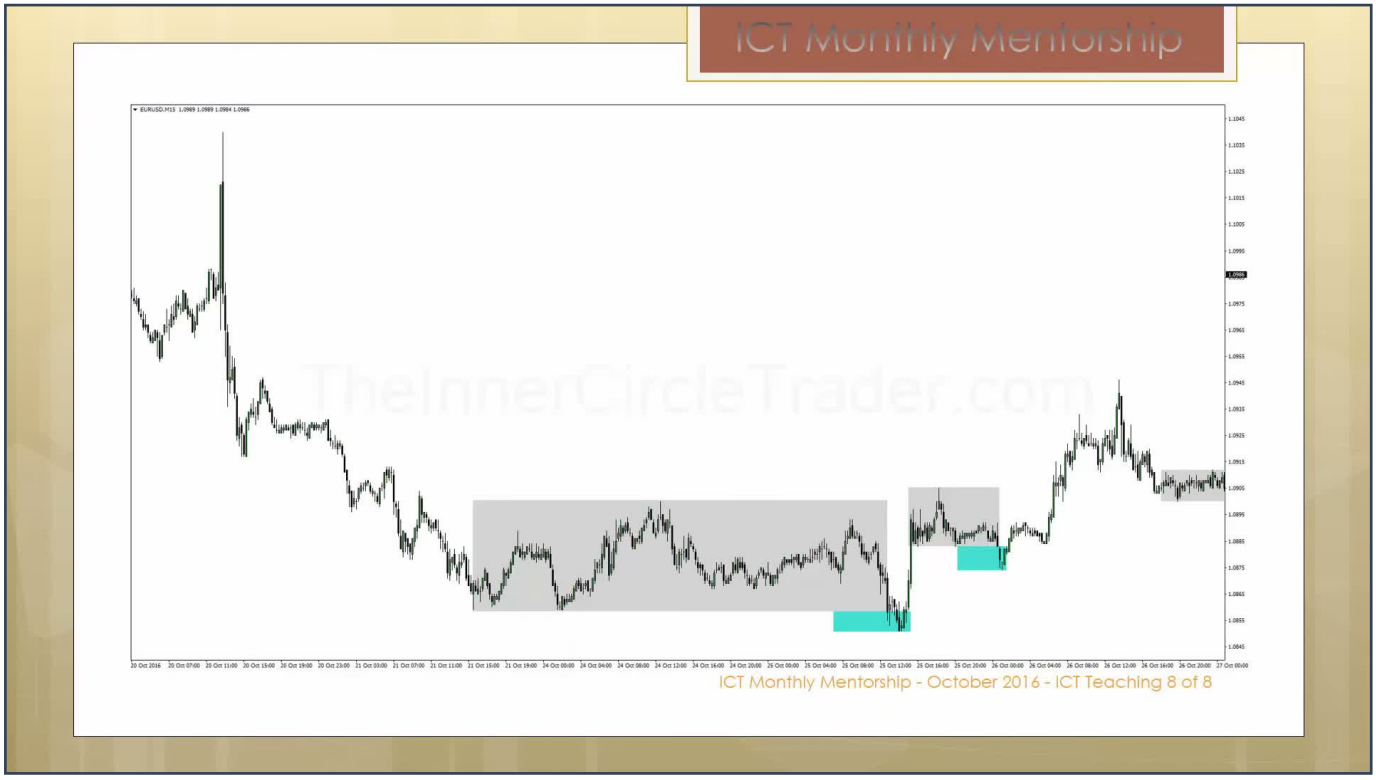
When smart money is long, how do they look to exit their positions and book a profit or hedge? They have to get out in a place where there are willing participants to buy. Buyers are always above the highs, either in the form of a buying breakout or buy stops on short positions. This is where the liquidity is, representing the market paradigm shift.

Price runs above that old high, and now we have two areas at which the market makers have booked long positions, so now they're pricing in a buy model. As the market moves higher, they are going to liquidate some of their positions to hedge, and also liquidate positions that those traders on the bank level are actually speculating for profit. This is how they actually take their trades, put them on, and scale them off, placing their entries and limit orders to get out with a profit.

What rests above that? Remember the specific things to look for in the first month: clean highs and clean lows. There's an area right over here with clean highs above. From where we're showing right now, after that 109.15 level has been hit, there really isn't much in the way of liquidity voids or pools of interest, except for those stops right above those equal highs.

As you can see, price expands. In the interbank price delivery algorithm, it's going to expand up and seek liquidity. That's what we see here.

Then what happens? Price invariably will go back into a consolidation. What's the underlying condition of the marketplace? It's bullish. Why? Because they keep taking price below and then rejecting that, absorbing the sell stops and expanding price higher. Is there any reason to suspect that price could go higher? Look at the price action.



If you don't see anything, we'll come to it as we move forward. But we have a consolidation in here. Our reasonable expectation would be to see price seek the sell stops below the consolidation. Price does in fact go below the consolidation.

LIQUIDITY ABOVE OLD HIGHS (CANDLE BODIES)

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What's above this old high? Liquidity. Do we always look at the old high or would we look for the wicks? We can, but primarily all the volume is seen in the bodies of the candles. So the body of the candles has the most volume, and the liquidity is going to rest above it.

So if they took the stops out below the 108.95, they're going to look to run price higher in the form of 109.40 or higher. Initially we had that short-term consolidation, the buy stops resting above that, they could scale off a position right there, and the next objective would be 109.40.

As you can see, 109.40 is swept, moving just above the bodies of the candles. Note the way that the orders are stacking higher each time. When they buy, they're buying a little bit higher each time, working their orders in, and still offering opportunities to scale off and profit. So the hedgers can work this model, the speculators at the bank level can work this model, and they're also providing liquidity for those individuals that want sell stops to be activated if the market goes down to those positions, and those individuals that want buy stops above the old highs, they're happy because their liquidity is being provided as well. Remember that market efficiency paradigm.

You have to think like a market maker. Now we have a larger trading range. I've kept that area where old buying was done at 108.95, but now we've moved into a larger range. Nothing's changed here, the model is still bullish.

So we see market action trade below that consolidation. It trades down into 108.85. With that movement down into that level, where is the liquidity at? Above the old high, at 109.45 or so. That's what you have up here, specifically buy stops. So we have willing buyers that are waiting up there for price once it gets there.

They're buying, smart money's buying at 108.90 or 108.85 in that area, and they know that there's going to be willing participants to be buying it from them when they want to sell it for a profit at 109.45 to 109.50. So 109.45 to 109.50 is hit, so the buy stops are used to pair long exits.

Now we look what we have here. We have a wonderful example of how using consolidations with the expectation of viewing the market with that market efficiency paradigm I spoke about, where we think like a liquidity provider, we can still speculate, we can still hedge, we can still make a profit using the same model. It answers all of the problems as it relates to trading, but specifically it offers the answer to liquidity providing. Buy stops are activated and they're actually given the ability to be effective, and sell stops are the same way.

So what the market makers do, we can vilify them, we can say all those rascals, they did this to me, they did that to me, okay, but what they're doing is their job. They're providing liquidity. The absence or lack of understanding that traders have, they attribute that as 'those guys, they did it to me,' and they usually misappropriate that to their broker. But what it is, is the market maker is providing liquidity.

And if you understand how the market seeks liquidity, that's the number one driver in price action. The market will always seek liquidity, and where is the most recent area of liquidity that's been untapped with the least of resistance getting to it? And that will give you the directional bias when you're a trader. But when you see markets go into consolidation and you have an underlying directional premise or you arrive at one based on studying the market like this, you can quickly ascertain trade setups and signals will jump off the chart at you by way of looking at it like this.

Again, we have to look at price with that market efficiency paradigm. We do not look at it as 'give me a buy and a sell.' Think like the market maker. If you had complete control of price, where would you drive price at to allow other traders to get in and at least facilitate their trades, at least whether they're right or wrong? That's not the problem here. Where's the buyers and where's the sellers at? And if we look at the market in this scope, in this perspective, we'll know that we'll always have buyers above old highs and we'll always have sellers below old lows. So if we know that that's where liquidity rests, all we have to do is discern whether or not does the market want to seek the buyers or does it want to seek the sellers?

And the way you get that indication is by studying when they go into consolidation, what side of the market they're reaching for, and then where is the market going after it happens. And here you can clearly see every time there's a consolidation, the market seeks the liquidity below the marketplace, and once it absorbs it, it quickly runs the other direction. Why is that happening? Because the market makers are facilitating their long positions and building a buy model in the price or in this asset.

So we can expect to see every time the market goes below these consolidations, these movements below it are always going to be viewed in our eyes as a false breakout. So the false breakout that would trip up traders otherwise or knock them out of profitable positions if they would have been remaining long, we can view the marketplace with the market efficiency paradigm, seeing it as a provider of liquidity. See it in just in the same scope or perspective as a market maker does.

And then we're suddenly in line with the market maker. We're not beating the market maker, we're not trying to outsmart the market maker, all we're trying to do is get in line with what their motive would be. What's their MO? How are they going to book the market for this particular day or for this month or this week? How are they going to do that? And by looking at the models that were shown here with looking at ranges and when they break below the ranges and we see willingness to rally after that, it gives you your first telltale clue.

Every time the market goes into consolidation, expect every drop down below an old area of consolidation. Expect that to be a false breakout and then anticipate accumulation of long positions, and in the market once they can accumulate their long positions, then they will reprice the market higher running for the buy stops above old highs.

But what else do you see here? If you're looking at this, what else? If you were to study this for a moment and I'm going to ask you to pause the video, study this for a few minutes and see if there's anything else that jumps off the chart at you, and don't be discouraged if once I show you what it is if it wasn't apparent. This first price swing from the first initial false breakout below the old lows and consolidation, once that rallied up and we gave another area where we can buy again at that 108.75 level, that red area if you will, I guess it's red, it's a measured move from that same buy and it gives you an approximation over here where the algorithm will reach for to offer price. And we see it reach up into that 109.25 level from 108.75, which is the measured move from the initial low that it ran up and created that first red box, and then first that impulse price swing. The second leg in price higher is equal to that first one.

Also, the larger price swing from that first initial buy all the way up to the intermediate-term high or the midpoint of the overall price swing, once we had that larger consolidation and it went down and traded into 108.85, when that happened, that same measured move from 108.50 up to 109.45 or thereabouts, that same measured move from the stop run at 108.85, that gives us a projected run up to that 109.80 level, and you can see that was handsomely hit.

And ultimately that 109.90 as we spoke in real time at the time of this recording in the mentorship, which we spoke about that 109.90 level being directly linked to the bearish order block on the daily chart. And all these things coalesce, they start to come together, they dovetail beautifully. But understanding each individual component will help us bridge that vast chasm if you will, of what goes on past the right edge of your chart.

You see a lot of times where I'll talk about things and I'll give you scenarios of what I think is going to happen, but specific levels that I think is going to go and be hit. The reason I'm able to do that is because I'm looking at the market just like I'm showing you here. I'm looking at how the market maker is booking, how is the market maker manipulating price, what side of the marketplace are they working on, where are they punishing those that are less informed.

And if they're seeking one side of the marketplace over and over and over again and they keep expanding price away from it, in this case it's been the sell stops being run. Every time the sell stops would be run below a consolidation, it runs higher and it goes through the buy stops. It's just that's the easiest way to see if we're really in a bullish market or bullish market profile. It's not as easy as everyone says with the textbooks where you draw a trendline, it's sloping up and just every time it touches the trend line you buy.

Now you've got to look at where the orders are going to be residing, and again back to that market efficiency paradigm. By having that model in focus when you look at price, and when you see market consolidations, when it breaks below that and you start seeing the market trade higher, every time the market goes in consolidation, they're priming the marketplace to allow sell stops to build up below those consolidations.

And obviously what we've shown here was just for a buy side. If everything was reversed and we were seeing consolidations in the market rally up, taking the buy stops out and then quickly running lower, and then moving into a new consolidation and then market running higher, running the buy stops and accelerating going lower again, everything would just reverse itself in terms of everything we've explained here.

So I hope this has been insightful to you. I look forward to our third month in the mentorship. So get your notebooks ready because there's going to be a lot more information by way of price action and we're going to be focusing in on detailed concepts that have been shown in the free mentorship, free members area on my website and on the videos, but all the gaps that I left in that free area of teaching, I'm going to fill that in as we go forward. So with that, guys, I wish you good luck and good trading.